Week 10

What are the various steps involved in the formation of a company?

Introduction and Statutory Framework

The formation or incorporation of a company is the legal process by which a business entity is brought into existence as a body corporate, distinct from its owners, with a separate legal entity, perpetual succession, and limited liability. In India, the formation and regulation of companies are governed primarily by the **Companies Act, 2013** (along with rules framed thereunder) and administered by the **Ministry of Corporate Affairs (MCA)** through the **Registrar of Companies (ROC)**.

Promoting a company is a structured, multi-stage legal and administrative procedure. It requires careful planning, meticulous documentation, statutory compliance, and regulatory approvals. Broadly, the formation process is divided into four distinct phases:

1. **Promotion**
2. **Registration and Incorporation**
3. **Raising of Capital (Commencement of Business for Public Companies)**

Phase I: Promotion Stage

Promotion is the preliminary stage during which the initial idea of starting a business is conceived, investigated, and developed into a concrete commercial enterprise.

1. Meaning and Role of a Promoter

- **Promoter:** A promoter is a person (or corporate entity) who conceives the business idea, takes the necessary steps to float the company, and brings it into existence. Under Section 2(69) of the Companies Act, 2013, a promoter is defined as someone who has been named as such in a prospectus or is identified by the company in its annual return, or someone who has control over the affairs of the company directly or indirectly.
- **Fiduciary Duties:** Promoters stand in a fiduciary (trust-based) relationship with the prospective company. They must act with utmost good faith, disclose any personal profits or conflicts of interest, and avoid making secret profits at the expense of the future company.

2. Key Steps in Promotion

- **Discovery of Business Idea:** Identifying a viable commercial opportunity, product, or service that can be successfully marketed.
- **Detailed Investigation (Feasibility Studies):** Conducting market research and financial, technical, and economic feasibility studies to determine whether the proposed business will be profitable.
- **Assembling the Team:** Bringing together co-founders, initial investors, and technical experts who will contribute capital and expertise.
- **Deciding on Basic Parameters:** Finalizing the company's name, registered office jurisdiction, authorized share capital, and basic operational structure.
- **Preliminary Contracts:** Entering into provisional contracts with vendors, landlords, or managers on behalf of the company-to-be-formed (pre-incorporation contracts), which the company may ratify after incorporation.

Phase II: Registration and Incorporation Stage

This is the formal legal process that breathes life into the company, transforming it from a mere business concept into a recognized legal person. Under the modern MCA regime, this process is largely electronic via the **SPICe+ (Simplified Proforma for Incorporating Company Electronically)** portal.

1. Step-by-Step Incorporation Procedure

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|  STEPS IN COMPANY REGISTRATION (SPICe+)                   |
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1. Obtaining Digital Signature Certificates (DSC)
2. Obtaining Director Identification Number (DIN)
3. Name Approval via RUN (Reserve Unique Name) or SPICe+
4. Drafting Memorandum & Articles of Association (MoA & AoA)
5. Filing SPICe+ Form with ROC

6. Issuance of Certificate of Incorporation (COI) & CIN

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Step 1: Obtaining Digital Signature Certificates (DSC)

- Since company filing is entirely online, all electronic documents and forms must be digitally signed by the proposed directors and subscribers. Valid Class-3 DSCs must be obtained from licensed Certifying Agencies (CAs).

Step 2: Obtaining Director Identification Number (DIN)

- Every individual intending to be a director must obtain a unique **Director Identification Number (DIN)**. Under current practice, DIN applications for up to three directors can be integrated directly into the SPICe+ incorporation form.

Step 3: Name Approval

- The proposed name of the company must be checked for availability and compliance with the Companies (Incorporation) Rules. It must not be identical or too nearly resembling an existing company's name or trademark.
- Name approval is secured either through the standalone **RUN (Reserve Unique Name)** web service or directly through Part A of the SPICe+ form.

Step 4: Drafting Charter Documents

The promoters must draft two fundamental foundational documents:

- **Memorandum of Association (MoA):** The charter that defines the company's constitution, objectives, scope of powers, and relationship with the outside world. It contains mandatory

clauses: Name Clause, Registered Office Clause, Object Clause, Liability Clause, and Capital Clause.

- **Articles of Association (AoA):** The internal rulebook that governs the day-to-day management, internal administration, rights of shareholders, transfer of shares, and powers of directors.

Step 5: Filing Incorporation Forms (SPICe+ / INC-32)

- The comprehensive electronic form **SPICe+** is submitted to the Registrar of Companies (ROC) along with allied filings:
- e-MoA (INC-33) and e-AoA (INC-34).
- Declaration by professionals (Chartered Accountant, Company Secretary, or Cost Accountant) and subscribers (INC-9).
- Proof of registered office address, utility bills, and NOC from the property owner.
- Identity and address proofs of subscribers and directors (PAN, Aadhaar, passport, bank statements).
- *Simultaneous Registrations:* Through SPICe+, applicants can simultaneously apply for **PAN, TAN, EPFO registration, ESIC registration, professional tax (if applicable), and bank account opening**.

Step 6: Issuance of Certificate of Incorporation (COI)

- Upon scrutinizing the filed documents, if the ROC is satisfied that all statutory requirements have been met, they issue the **Certificate of Incorporation**.
- The certificate bears a unique **Corporate Identity Number (CIN)**.
- *Legal Significance:* From the date mentioned in the certificate, the company comes into existence as a legal person, capable of exercising all functions of an incorporated company, enjoying **perpetual succession** and a **corporate veil** (limited liability).

Phase III: Raising of Capital Stage

Once incorporated, a company must arrange for funds to commence and expand its business operations. The procedure for raising capital differs significantly between Private Companies and Public Companies.

1. Private Companies

- **Restriction:** A private company is prohibited by its Articles from inviting the public to subscribe for any securities (shares or debentures) of the company (Section 2(68)).
- **Capital Raising:** Private companies raise capital privately through rights issues, private placements, loans from directors, venture capital, or debt financing from financial institutions.
- **Commencement of Business:** A private company can commence business operations and exercise borrowing powers **immediately** upon receiving its Certificate of Incorporation; no separate commencement certificate is required.

2. Public Companies

Public companies intending to raise capital from the public must navigate a rigorous regulatory process:

- **Drafting and Issuing a Prospectus:** A prospectus is a formal invitation to the public to purchase shares or debentures. It must contain exhaustive disclosures regarding the company's financial

history, management, utilization of funds, and risk factors, and must be filed with the **Securities and Exchange Board of India (SEBI)** and the ROC.

- **Minimum Subscription:** To prevent fraudulent or under-capitalized flotations, the company must receive applications for a statutory minimum percentage of shares specified in the prospectus within a stipulated time frame. If minimum subscription is not met, all application money must be refunded.
- **Allotment of Shares:** Once minimum subscription is secured and shares are listed on a recognized stock exchange (if it is a public issue), shares are officially allotted to investors.
- **Filing Return of Allotment:** The company files a return of allotment with the ROC detailing the shares issued.

Phase IV: Commencement of Business (Public Companies)

Under Section 10A of the Companies Act, 2013, a public company having a share capital **cannot commence any business or exercise any borrowing powers** unless:

1. A declaration is filed with the ROC by a director within **180 days** of incorporation, verifying that every subscriber to the memorandum has paid the value of the shares agreed to be taken by them.
2. The company has filed with the ROC a verification of its registered office address.

Once these compliance filings are accepted by the ROC, the public company achieves full operational freedom.

Summary and Conclusion

The formation of a company is a rigorous legal process designed to balance entrepreneurial freedom with corporate accountability and investor protection. Transitioning from the **Promotion stage** (where ideas and feasibility are evaluated) through **Registration and Incorporation** (where legal personality is established via MoA, AoA, and the ROC) and finally to the **Raising of Capital and Commencement of Business**, every step is governed by strict statutory mandates under the Companies Act, 2013. Compliance with these phases ensures corporate transparency, safeguards stakeholder interests, and establishes a firm legal foundation for sustainable business operations.